Policy Debate Worksheet: Should the U.S. Put a Price on Carbon?

Pathways: Economics & Finance Workshop — Lecture 3: Climate Change and Common Resources

Your Stakeholder Group: ____________________

Group Members: ____________________

Carbon Tax

A fixed price charged for every **ton of CO_2** emitted. The polluter pays for the damage their emissions cause. For example, the government sets a price of **$50 per ton** of CO_2, and firms and households pay when they emit.

Key Facts

- A $50/ton carbon tax would raise gas prices from $3.50 to **$3.94 per gallon** (about 13% more).
- The tax affects **firms** (higher production costs) and **households** (higher energy bills).
- It affects people **unequally**: low-income households spend a larger share of their income on energy.
- A carbon tax generates **billions of dollars** in revenue. The government can:
  1. Return it to households as rebate checks
  2. Invest in firms to reduce CO_2
  3. Cut other taxes (e.g. income tax)

U.S. Greenhouse Gas Emissions by Sector (2022)

Sector	%	Households	Firms
Transportation	28%	Cars, personal trucks	Freight, airlines, shipping
Electric Power	25%	Home electricity use	Factory & office electricity
Industry	23%	—	Manufacturing, refining, chemicals
Comm. & Residential	13%	Home heating, refrigerants	Office & retail heating
Agriculture	10%	—	Livestock, crops, fertilizer

Source: U.S. EPA, *Inventory of U.S. Greenhouse Gas Emissions and Sinks: 1990–2022.*

Questions

1. What are the benefits of a carbon tax for your stakeholder group?

2. What are the costs of a carbon tax for your stakeholder group?

3. What is your group's policy recommendation? Circle one and explain why.

a) No tax
b) Tax + rebate to households
c) Tax + invest in firms to reduce CO_2
d) Other (describe your own policy below)

Explain your reasoning: